

Budget 2025 Changes - Section 80C ▾



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Section 80C of Income Tax Act - 80C Deduction List

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Section 80C provides deductions up to Rs.1.5 lakhs on various investments and expenses. These include deductions for life insurance premiums, PPF, home loan principal repayment, ELSS mutual funds, Sukanya Samriddhi Yojana, and many more. Claiming the right deductions can significantly lower your tax liability for the year. It is important to note that these deductions are disallowed under the [New Tax Regime](#).

Key Highlights

- Taxpayers can diversify into various eligible investments, thereby saving taxes and maximizing returns at the same time.
- Section 80C deduction is only available under the [Old Tax Regime](#), not under the [new tax regime](#).
- Overall ceiling limit for specified investments is Rs. 1.5 lakhs. This limit does not apply to each investment.

What is Section 80C?

Section 80C of the Income Tax Act 1961 is a key provision that offers tax deduction benefits to taxpayers by reducing their gross total income, effectively lowering their taxable income and their overall tax liability for the financial year.

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These deductions can significantly reduce taxpayers' taxable income, resulting in substantial tax savings.

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It was **expected** that with effect from 01st April, 2025, the ceiling limit for section 80C deductions would be increased to Rs. 2 lakhs. But, no such relaxations were made. There were no changes made with respect to section 80C in budget 2025.

Section 80C - The Most Popular Tax Saving Deduction

Section 80C continues to be one of the most popular options in the old tax regime for the following reasons.

1. **Variety of investment options:** Like life insurance, provident fund, fixed deposit, government backed investments like national savings certificate, etc.
2. **Span of investment:** For many 80C investments, the investment horizon is 5 years, which is comparatively less than pension funds.
3. **Promotes tax savings and financial planning:** These specified investments assists in smart financial planning and saving taxes at the same time.
4. **Protection against inflation:** These investments often have returns more than the inflation trend of the economy. This helps the taxpayers to beat the inflation while saving.

What Are 80C Deductions?

Section 80C of the Income Tax Act allows several benefits to lower the overall taxable income of the taxpayer. Section 80C deductions include Life Insurance Premiums, Public Provident Fund (PPF), National Savings Certificates (NSC), Equity-Linked Savings Scheme (ELSS), Sukhanya Samriddhi Yojana, Tuition fees, home loan principal repayment, and many more. The maximum section 80C deduction limit is Rs. 1.5 lakh per Financial Year.

Current Limitations

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Who Can Claim Section 80C Deductions?

Only individuals and HUFs are eligible to claim Section 80C deductions. Companies, Firms, LLPs, etc. are not allowed to claim the Section 80C deductions.

How to Claim Section 80C Deductions?

It is important to understand and comply with the following points to claim Section 80C deductions:

1. Invest in eligible instruments before 31st March of the financial year.
2. Collect proofs such as deposit slips, insurance premium receipts, ELSS statements, etc.
3. Declare investments to your employer to adjust TDS.
4. File ITR and report investments under "Deductions under Chapter VI-A".

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Eligible Investment Under Section 80C and Risk Comparison

The following table compares the various features of section 80C deduction options, easy for taxpayers to choose the most suitable option for them.

Investment options	Average Interest	Lock-in period for	Risk factor
ELSS funds	12% – 15%	3 years	High
NPS Scheme	8% – 10%	Till 60 years of age	High
ULIP	8% – 10%	5 years	Medium
Tax saving FD	Up to 8.40%	5 years	Low

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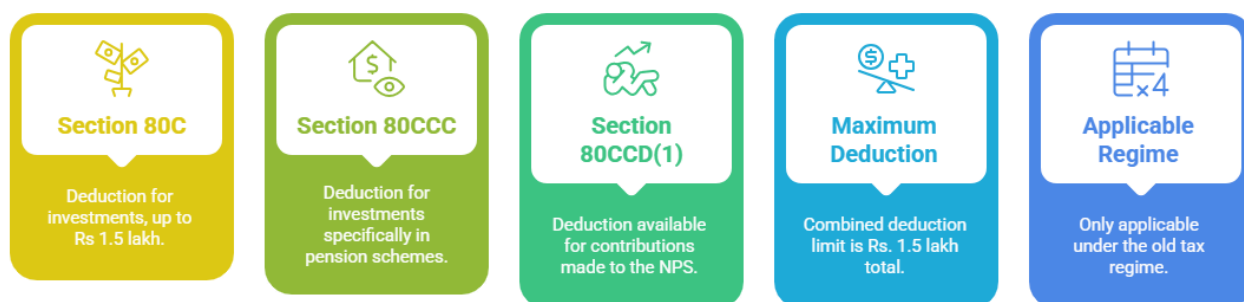


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National Savings Certificate	7.90%	5 years	Low
Sukanya Samriddhi Yojana	8.50%	Till girl child reaches 21 years of age (partial withdrawal allowed when she reached 18 years)	Low

Expenses related to home loan principal repayment and tuition fees of children's education can also be claimed as deductions under Section 80C.

Income Tax Deductions



Deduction Limits under Section 80C, 80CCC, 80CCD(1), 80CCE, 80CCD(1B)

Sections 80CCC and 80CCD provide deductions for investments in pension schemes. The combined maximum deduction allowed under Sections 80C, 80CCC, and 80CCD(1) is ₹1.5 lakh. However, you can claim an additional deduction of ₹50,000 under Section 80CCD(1B) for contributions made to the National Pension Scheme (NPS).

Therefore, the total maximum deduction available under Sections 80C, 80CCC, 80CCD(1), and 80CCD(1B) is ₹2 lakh.

Sections	Eligible investments for tax deductions	Maximum Deduction
80C	Investment made in Equity Linked Saving Schemes (ELSS),	Rs 1,50,000

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80CCC	Payment made towards pension funds	Rs 1,50,000
80CCD(1)	Payments made towards Atal Pension Yojana or other pension schemes notified by government	Employed: 10% of basic salary + DA Self-employed: 20% of gross total income
80CCE	Overall combined limit of ₹1,50,000 for 80C + 80CCC + 80CCD(1)	Rs 1,50,000
80CCD(1B)	Investments in NPS (outside Rs 1,50,000 limit under Section 80CCE)	Rs 50,000
80CCD(2)	Employer's contribution towards NPS (outside Rs 1,50,000 limit under Section 80CCE)	Central government employer: 14% of basic salary +DA Others: 10% of basic salary +DA

How to Save Tax Under Section 80C?

Let us understand how section 80C helps in reducing tax implications using an example.

Mr. A has a salary income of Rs. 10 lakhs and other income of Rs. 1 lakh. He has invested Rs. 1.5 lakh in PPF.

The difference in tax implications when 80C deductions are claimed and not claimed is explained below:

Particulars	Section 80C Deduction claimed	Section 80C Deduction not claimed
Salary Income	10,00,000	10,00,000
Less - Standard Deduction	(50,000)	(50,000)
	9,50,000	9,50,000
Other Income	1,00,000	1,00,000
Gross Total Income	10,50,000	10,50,000

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Total Tax payable (including cess)	96,200	1,32,600
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Therefore, by claiming a deduction of Rs. 1.5 lakh under Section 80C, **Mr. A has saved Rs. 36,400 in taxes** under the old tax regime.

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Frequently Asked Questions

Can I claim the 80C deductions at the time of filing the return in case I have not submitted proof to my employer?



I have made an 80C investment on 30 April 2025. For which year can I claim this investment as a deduction?



Can a company or a firm take benefit of Section 80C?



I have been paying life insurance premiums to a private insurance company. Can I claim an 80C deduction for the premium paid?



In which year can I claim a deduction of the stamp duty paid for the purchase of a house property?

